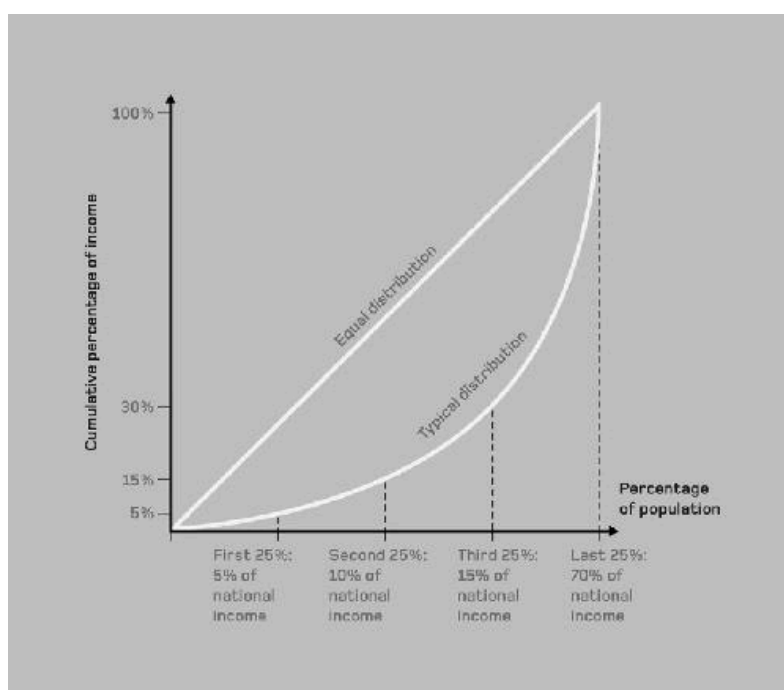


Inequality and growth

The links between growth and inequality have engrossed economists and fired popular debate. One view is that economic development implies rising inequality: when industries emerge in predominantly agricultural countries, inequality rises at first, because the new sectors offer higher wages but only make up a fraction of the economy. Others have argued that in the latter half of the 20th century economic growth drove the reduction of poverty and reduced inequality.

A different way of looking at things is to consider how the level of inequality itself affects economic performance. Some economists have suggested that inequality stifles economic growth. Inequality means that the capital stock is in the hands of an elite. The mass of the population, who own no capital, want a high rate of tax to fund public services. Because they form the electoral majority, governments end up placing a high rate of tax on capital, but because growth is reliant on the accumulation of capital, this actually slows the rate of growth.



This chart compares the typically unequal distribution of income across population, with the line of distribution if everyone had the same income.